

In this chapter, we'll explore how trading evolved from shouting on trading floors to executing millions of trades per second through algorithms. We'll discover why Python, among dozens of programming languages, has become the preferred choice for traders worldwide.

Most importantly, we'll understand how you—regardless of your background—can use Python to develop trading strategies that compete with the professionals.

Let's begin our journey into the fascinating world where finance meets code.

## From Trading Pits to Trading Bits: The Evolution of Trading

### Traditional Trading: The Human Element

For most of financial history, trading was an intensely human affair. Picture the iconic scenes from movies like "Trading Places" or "Wall Street": trading floors packed with people in colorful jackets shouting orders, waving paper tickets, and using hand signals to buy and sell securities.

This traditional approach to trading relied heavily on:

- **Human decision-making:** Traders made buy and sell decisions based on their market knowledge, intuition, and analysis of news and financial statements.
- **Manual execution:** Orders were placed via phone calls to brokers or through open outcry on exchange floors.
- **Limited scale:** A human trader could only analyze and execute a finite number of trades each day.
- **Emotional factors:** Fear, greed, and other emotions heavily influenced trading decisions.